Signé par Em

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COLLECTION

QUEBEC & LEGAL

Mortgage: Fixed or Variable?

Rate, term and amortization.

2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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Mortgage: fixed or variable?

Rate, term and amortization — understanding and choosing your loan

The mortgage is the largest debt of most households. Understanding fixed vs variable rate, term and amortization helps you choose a loan that fits your risk tolerance and situation.

This guide clarifies these concepts and the questions to ask yourself before signing.

2026 edition note: rates are constantly changing; confirm with a mortgage broker. Each chapter ends with a lined “My Notes” page.

The mortgage is the largest debt of most households. This guide clarifies the fixed vs. variable tradeoff, the difference between term and amortization, the clauses that matter, and how to fit the loan into your life.

Note (2026 edition): rates are constantly changing; always confirm with a mortgage broker.

CHAPTER

Fixed rate vs variable rate

> *Understand the main trade-off.*

This is the big choice for any borrower, and it depends on your risk tolerance:

- **Fixed rate** : identical for the entire duration of the term. Predictable payments, peace of mind, but often a slightly higher starting rate.
- **Variable rate** : tracks market fluctuations. May cost less if rates fall or stay low, but may be subject to increases in payments or interest.

In summary: the landline buys *predictability*, the variable bets on the *market*. None are “better” in absolute terms.

Ask yourself a simple question: would an increase in payment make you sleep poorly? Fixed price buys predictability (at the price of an often slightly higher starting rate); the variable bets on the market (possible savings, but risk of increase). None are “better” in absolute terms.

> EMILIE'S ADVICE
>
> *Ask yourself a simple question: would a payment increase of $150 to $300 per month make you sleep poorly? If so, the landline is often worth the slight extra cost for peace of mind.*

CHAPTER

The term and amortization

> *Distinguish two often confused notions.*

These two words are similar but mean very different things:

- **Depreciation** : duration *total* to repay the loan (often 25 years).
- **Term** : the duration of the *current contract* (often 5 years), at the end of which you renew under new conditions.

A longer amortization reduces the monthly payment, but increases the total interest paid. At the end of each term, you renegotiate: this is a key moment to adjust your strategy.

Do not confuse amortization (total repayment duration, often 25 years) and term (duration of the current contract, often 5 years). At the end of each term, you renegotiate: it's a key time to shop. Don't wait for your renewal - compete two to three months before the deadline.

> EMILIE'S ADVICE
>
> *Do not undergo your term renewal. Two or three months before the deadline, shop around and compete: this is often where we save the most, without changing homes.*

CHAPTER

Clauses that matter

> *Look beyond the rate.*

The displayed rate is only the visible part. These clauses can cost - or pay off - a lot:

- **Early repayment penalties** : sometimes very high if your life changes (moving, separation).
- **Accelerated reimbursement** : additional payments allowed, to pay more quickly.
- **Portability** : transfer the loan to another property.
- **Open vs Closed Loan** : flexibility versus rate.

The lowest rate is not always the best loan: a rigid clause can be expensive at the wrong time.

The displayed rate is only the visible part: early repayment penalties (sometimes very high if your life changes), accelerated repayments, portability, open vs closed loan. Before signing for an "unbeatable" rate, ask how the penalty is calculated.

> EMILIE'S ADVICE
>
> *Before signing for an "unbeatable" rate, ask how the repayment penalty is calculated. With some lenders, it can represent several thousand dollars.*

CHAPTER

Surround yourself well to finance

> *Choose the right contact person.*

You don't have to shop alone. Two main routes:

- **Your financial institution** : simple if you are already a customer, but only one range of products.
- **The mortgage broker** : compares several lenders for you, often at no cost to the borrower.

In both cases, compare the rate *and* conditions. A pre-approval gives you a confirmed amount and a guaranteed rate to shop with peace of mind.

Two ways to finance: your institution (simple if you are a customer, but only one range) or a mortgage broker (compare several lenders, often at no cost to you). In both cases, compare the rate AND the conditions, and get pre-approved to shop with peace of mind.

> EMILIE'S ADVICE
>
> *A good mortgage broker generally costs you nothing and can find conditions that your bank will not spontaneously offer you. It's worth at least a conversation.*

CHAPTER

Adapt your loan to your life

> *Choose according to your real situation.*

The "good" loan depends less on economic headlines than on **your** reality:

- **Stability of employment and income** : the more solid it is, the more the variable is possible.
- **Horizon** : do you plan to keep the property for a long time?
- **Financial cushion** : could you absorb an increase in payment?
- **Projects** : family expansion, career change, probable resale.

A choice aligned with your life is better than a rate that is perfect on paper but uncomfortable on a daily basis.

The "good" loan depends less on the headlines than on YOUR reality: job stability, holding horizon, financial cushion, life plans. There is no shame in choosing the fixed even when "everyone" praises the variable: the best loan is the one that lets you sleep peacefully.

> EMILIE'S ADVICE
>
> *There is no shame in choosing the fixed even when "everyone" says that the variable is a winner. The best loan is the one that lets you sleep peacefully.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Evaluate my risk tolerance (fixed vs variable).
2. Meet a mortgage broker.

Within 30 days

1. Compare rates AND conditions (penalties, portability).
2. Choose appropriate amortization and term.

Then

1. Restore at each term renewal.

To choose wisely

1. Assess my risk tolerance and meet with a mortgage broker.
2. Compare rates AND conditions (penalties, portability) and shop again at each renewal.

REFERENCES

Resources & glossary

- Fixed rate: unchanged during the term, predictable.
- Variable rate: follows the market, savings and risk potential.
- Amortization: total repayment period (often 25 years).
- Term: duration of the current contract (often 5 years).
- Prepayment penalty: cost of repaying or breaking early.

- Fixed rate: unchanged during the term, predictable.
- Variable rate: follows the market, savings and risk potential.
- Amortization: total repayment period (often 25 years).
- Term: duration of the current contract (often 5 years).

- Repayment penalty: cost of breaking or repaying before maturity.

GO FURTHER

Quiz - test yourself

1. The fixed rate mainly offers:

A) Maximum risk
B) Predictability of payments
C) No interest
D) Reduced taxes

2. The variable rate:

A) Never change
B) Follows the market, with potential for savings and risk
C) Is prohibited
D) Is always more expensive

3. The depreciation is:

A) The duration of the current contract
B) The total repayment period
C) A penalty
D) A rate

4. The term is:

A) The total duration of the loan
B) The duration of the current contract (often 5 years)
C) Insurance
D) The price of the house

5. The end of the term is a good time to:

A) Do nothing
B) Restore and bring in the competition
C) Sell necessarily
D) Pay a fine

6. A prepayment penalty can be:

A) Void at all times
B) High if your life changes
C) A gift
D) Prohibited

7. The lowest rate:

A) Is always the best loan
B) Is not always the best loan
C) Does not exist
D) Is illegal

8. A mortgage broker:

A) Always costs the borrower dearly
B) Compares several lenders, often at no cost to the borrower
C) Sells houses
D) Sets taxes

9. Pre-approval gives:

A) A free house
B) A confirmed amount and a guaranteed rate to shop
C) A penalty
D) Nothing

10. The best loan is above all one which:

A) Impress the neighbors
B) Is aligned with your real situation
C) Has the most clauses
D) Lasts the longest

Answers

1. B - Predictability and security (chap. 1).

2. B - It follows the market (chap. 1).

3. B - Total duration, often 25 years (chap. 2).

4. B - Duration of the current contract (chap. 2).

5. B - We renegotiate at each term (chap. 2).

6. B - It can be expensive (chap. 3).

7. B - Conditions also matter (chap. 3).

8. B - It magazine for you (chapter. 4).

9. B - It secures your search (chap. 4).

10. B - Adapted to your life (chap. 5).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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